

EQUATORIAL GUINEA: 2018-2022 COUNTRY STRATEGY PAPER MID-TERM REVIEW VALIDATION NOTE

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Acknowledgements

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Acronyms and Abbreviations

ADB	African Development Bank (financing window)
AfDB	African Development Bank Group
BEAC	Bank of Central African States
CSP	Country Strategy Paper
CSP MTR	Country Strategy Paper Mid-term Review
DAC	Development Assistance Committee
ESTA	Department of Statistics
GDP	Gross domestic product
ICT	Information and communication technologies
IDEV	Independent Development Evaluation
ILO	International Labour Organisation
IMF	International Monetary Fund
IPR	Implementation Progress and Results Report
IsDB	Islamic Development Bank
MIC/TAF	Middle-Income Countries Technical Assistance Fund
MTR	Mid-term Review
NESDP	National Economic and Social Development Program
PAGFP	Public Financial Management Support Programme
PAMFP	Public Finance Modernisation Support Project
PAPP	Country Portfolio Performance Improvement Plan
PASPA	Support for the Development of Value Chains in the Fisheries and Aquaculture Sector
PIU	Project Implementation Unit
PMU	Project Management Unit
PPP	Public Private Partnership
REG	Republic of Equatorial Guinea
RMF	Results Measurement Framework
SME-SMI	Small and Medium Enterprises, Small and Medium Industries
TAF	Technical Assistance Fund
UA	Unit of Account
UN	United Nations
UNDP	United Nations Development Programme
UNFCCC	United Nations Framework Convention on Climate Change
USAID	United States Agency for International Development
WB	World Bank

Country Strategy and Programme: Basic information

A. Basic CSP data			
Strategic focus: To support the Government of Equatorial Guinea in its economic diversification strategy through structural transformation			
Pillar 1:	Support agricultural transformation for economic diversification		
Pillar 2:	Build capacity in public policy design and implementation.		
Country:	Equatorial Guinea		
Processing milestones	Core focus areas	Validity of Strategic focus	
Mid-term Review Combined Report of CSP Mid-term Review 2018-2022 and Country Portfolio Performance Review, November 2021, ADB/BD/WP/2021/207/approved	- Agriculture - Governance support	Total commitments: UA 68.3 million	
CSP cycle extension	No		
Actual Submission Date:	November 2021		
B. Resource Allocations			
Financing source/instrument	Approved amount:	Amount disbursed:	Percentage disbursed (August 2022):
Total loans:	UA 68.3 million	UA 4.6 million	7.2%
Grants:	UA 0.8 million	UA 0.8 million	62.6%
Equity investments:			
Technical Assistance:	N/A		
Knowledge work (Total number, focus area)	(i) Capacity-building support for the Chamber of Commerce; (ii) establishment of a support mechanism for SMEs and SMIs; and (iii) the feasibility of SME development. A study on COVID-19 impact simulations is being finalised.	N/A	
Other (e.g. Co-financiers, total number & focus area):	World Bank, UN System, IMF, USAID, France, Spain, Portugal, Brazil, and China. Focus areas: Governance, public finance, statistics, fisheries, health, education, language.	N/A	
C. Responsible Bank staff			
Position	At approval	At CSP MTR	
Regional Director	Ousmane Doré	Serge N'guessan	
Country Manager	Racine Kane	Solomane Koné	
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CSP MTR Team Leader	Racine Kane	Racine Kane	
CSP MTR Team Members	Equatorial Guinea Country Team	Equatorial Guinea Country Team	
D. Report data			
Validation date: 08 September 2022			
Validation Mission:	Desk review and interviews	July/August 2022	
CSP MTR Validation Note Date: December 2022			

1. VALIDATION OBJECTIVES, METHODOLOGY AND SCOPE

1.1. Introduction

As part of its 2019-2021 work programme, IDEV undertook an independent validation of the Mid-term Review of Equatorial Guinea's Country Strategy Paper (CSP 2018-2022).¹ The purpose of this validation is to provide an independent opinion on the assessments made by the MTR, contribute to the preparation of the CSP completion report, and assist managers in making decisions on future choices and directions under the country's new CSP.

1.2. Purpose of the validation

The objective of this Mid-Term Review (MTR) Validation Note for Equatorial Guinea's 2018-2022 CSP is to review the compliance of the MTR with the Bank's standards and guidelines. It also aims to assess the quality of the mid-term review and to ensure that the findings, conclusions and recommendations are objective, credible, relevant and, therefore, evidence-based. This Validation includes a review of the performance achieved at mid-term for implementing the CSP programme based on objective independent evaluation criteria as established by the OECD. This Validation Note thus guides country managers on the quality of the country's CSP Mid-term Review.

1.3. Evaluation questions

The main questions that this Note seeks to address are:

- Evaluation of the overall quality of the CSP results framework mid-term review: assess consistency with the CSP objectives and results framework as well as the extent to which the indicators selected by the MTR were appropriate and measurable to show results;
- Assess the extent to which the MTR focused on the achievement of development objectives at mid-term and the actions that need to be carried out to complete the programme;
- Examine the extent to which the MTR made it possible to determine the adequacy of the Bank's programme design and implementation to the country's development objectives;
- Examine the extent to which the MTR made it possible to determine the adequacy of the Bank's contribution in addressing the fiduciary and cross-cutting themes in terms of their applicability or relevance to the assessment of overall programme performance;
- Evaluate the quality of the findings and lessons from the Mid-term Review, as presented in the CSP MTR report; and
- Discuss any issues raised and pertaining to differences in the conclusions of the validation mission or disagreements in assessing performance as relevant lessons which could be leveraged to prepare the CSP Completion Report and the Bank's future strategies.

1.4. Methodology and scope

The validation of the Equatorial Guinea CSP Mid-term Review was conducted through a desk review, interviews with programme and country officials, and a triangulation of the evidence provided by the MTR. It was based on international evaluation criteria (relevance, coherence, effectiveness, efficiency and sustainability) (see Annex 1).

This Validation Note provides an independent opinion on the findings and assessments of the MTR, the evidence used to draw conclusions and make recommendations, and their objectivity and credibility, based on other available evidence drawn from programme documents and other documentary sources, gleaned through a triangulation of sources. Validation of the CSP Mid-term Review, therefore, provides an opinion on the quality, coherence and objectivity of the main findings, lessons and recommendations of the MTR in relation to the results achieved at the mid-point of the CSP objectives.

1.5. Limitations of the Validation

The limitations of the CSP MTR Validation exercise relate primarily to the constraints of the desk review on which it was based. The mission sought to triangulate information and data by seeking other sources

¹ ADB/BD/WP/2021/207/Approved

of information from partners, published internal and external reviews and interviews with programme managers.

The draft Validation Note was reviewed by an external independent peer reviewer, an IDEV peer reviewer, the country team and the RDGC. The various suggestions for improvement are presented in this Note.

2. ECONOMIC CONTEXT AND THE BANK'S ASSISTANCE STRATEGY

2.1. Oil dominates other sectors

Equatorial Guinea's economy is dominated by oil production, although oil sector contribution to GDP has been on the decline in relative and absolute terms since 2017. National economic outlook data² indicate that the non-oil sector contribution to GDP is on an upward trend. While a return to growth was expected in 2021, that year was characterized by an economic slowdown due to the strict health-related lockdown measures and closure of the border. The GDP growth rate fell by -0.9% to reach 5.5% in 2022, according to the AfDB's Statistics Department. This growth is apparently unsustainable, considering that a recession may hit again in subsequent years due to the decline in oil production.³

2.2. Public finance situation

In pursuit of its public finance consolidation efforts, the REG validated a request for a three-year programme with the IMF in December 2019 backed by an Extended Credit Facility for USD 260 million. The public finance situation is currently improving from the economic standpoint. According to French Treasury forecasts, the high oil prices will help to generate a budget surplus of 3.5% of GDP in 2022, and although the public debt level remains relatively stable, it is expected to decline to 28% of GDP (from 40% in 2021), given the denominator effect of a GDP that is highly dependent on oil prices.

2.3. Strategic directions of the 2018-2022 CSP

According to the MTR report, the strategic directions of the 2018-2022 CSP were designed to support the Government of Equatorial Guinea in its quest for successful economic diversification by breaking the paradox of growth and poverty. The operations approved under the current CSP have been financed with resources from the ADB window. Considering that the REG is an ADB-eligible country, its allocation is determined by the Bank's guidelines on "Reference Loan Amounts", otherwise referred to as "headroom".⁴ These amounts provide a general framework for the Bank's maximum commitment and are indicative – i.e., they may change depending on the country risk profile and the Bank's available resources.

The Bank's strategy in Equatorial Guinea for the 2018-22 period is consistent with the pillars of the NESDP⁵ and the High 5s. In a bid to create the conditions for inclusive, sustainable and job-creating growth, the CSP focuses on two pillars, namely: (1) Support agricultural transformation for economic diversification (aligned with the High 5s: "Feed Africa", "Industrialize Africa" and "Improve living conditions for the people of Africa"); (2) Build capacity in public policy design and implementation (aligned with the High 5: "Improve living conditions for the people of Africa").

2.4. Need for economic diversification

Economic diversification remains a key objective for ensuring the country's growth and economic stability in the medium and long term. With AfDB support, Equatorial Guinea has embarked on the emergence phase, aimed at promoting economic diversification to ensure long-term sustainable growth. This economic diversification process corresponds to the second phase of the "National Economic and Social Development Plan for the Emergence of Equatorial Guinea by 2020". This diversification will focus on the following sectors: agriculture, industrial fishing, maritime transport and electricity.

The main sectors driving economic diversification include construction, agriculture, forestry, fishing and trade. The increase in non-oil sector contribution to GDP also stems from the fall in oil prices and a

2 <https://www.afdb.org/fr/countries/central-africa/equatorial-guinea/equatorial-guinea-economic-outlook>

3 *Indicators and trends, French Treasury Department, September 2022*

4 The Head Room is a dynamic envelope of the ADB Window used to finance public and private sector projects.

5 National Economic and Social Development Programme in operation in Equatorial Guinea

decline in national oil production over the past five years. However, Equatorial Guinea is well positioned in terms of oil production per capita, which seems to indicate that the sheer volume of its oil revenue places it in the best position to build a prosperous post-oil economy. This entails accelerating implementation of the reforms needed to help the country launch a successful diversification strategy.

2.5. Portfolio situation

The Bank's portfolio has been selective, given the country context. Operations under Pillar 1 consisted mainly of an agricultural sector loan for the development of fisheries value chains. The operation under Pillar 2 targets governance and focuses on modernising public finance management (interconnection of the budget, Treasury and Tax departments).

Until the end of 2022, the country had three active projects in its portfolio, of which only one had not recorded any disbursements as of August 2022.

2.6. Implementation status of the 2017-2018 Portfolio Performance Improvement Plan (PPIP)

The 2017-2018 PPIP comprised, in total, 20 priority actions, of which 13 have been fully implemented, two partially implemented, and five not implemented. The unimplemented recommendations relate to: (i) using MIC grants for project preparation; and (ii) organising training for project staff in procurement, financial management and disbursement. A third recommendation relating to the use and establishment of a financial management and accounting system was not implemented. Finally, the last recommendation that has not been implemented concerns the visits of the PMUs to the Bank's field office and/or headquarters.

In conclusion, analysis of the results of CSP implementation at mid-term, on the operational and strategic levels, shows that the CSP pillars pertaining to the economic and social development constraints facing the country remain relevant. While proposing that both CSP pillars be maintained, the MTR of the 2018-2022 CSP showed that the main constraints to implementing the Bank's strategy in Equatorial Guinea are: insufficient implementation of reforms; and the country's limited debt capacity over the past two years. The Validation Note supports this finding, considering the impact and effects of the pandemic.

3. VALIDATION OF THE CSP MID-TERM REVIEW RESULTS

Explain the extent to which the programme has contributed to achievement of the objectives defined in the areas identified as crucial to the attainment and sustainability of the strategic goals, including further analysis of selectivity and alignment with specific country needs.

3.1. Relevance

The Bank's 2018-2022 CSP targeted essential needs in line with Equatorial Guinea's development strategy. However, only two out of six planned operations were approved. It is debatable whether the AfDB has been able to sufficiently adapt its strategy to the country's limitations. However, the strategy is still in line with the Bank's specific strategic objectives and consistently reflects the Bank's comparative advantages. It has targeted the REG's primary needs, specified in government policy and planning documents.

The 2018-2022 CSP has focused the available resources on two pillars: (1) support agricultural transformation for economic diversification; and (2) build capacity in public policy design and implementation. These pillars remain relevant to the development needs of the REG as set out in their National Economic and Social Development Plan (NESDP), whose agenda is to diversify the sources of the country's growth. Both pillars have remained relevant throughout the CSP implementation period.

The Bank's focus on investment in economic diversification under the agriculture pillar is relevant to Equatorial Guinea's needs. The focus on developing fisheries value chains would facilitate the development of fisheries infrastructure and capacity and reduce social inequalities in the country. This sector could be profitable as all opportunities will be offered to boost the upstream and downstream production chain.

The Bank's support for governance contributes to Equatorial Guinea's policy objectives of building a strategic state and a modern administration. Support to the governance sector

through the Public Finance Modernization Support Project aligns with the Bank's strategic priorities. The Bank's priorities are outlined in its Governance Policy. The Bank's support is primarily aimed at strengthening the following key reforms: (i) modernisation of the regulatory framework for public finance management aimed at orienting the State towards performance and results; (ii) computerisation and interconnection of financial authorities and other economic and financial administrations to strengthen rigour and efficiency in the management of resources; and (iii) public finance management capacity-building through training in global and sectoral policy formulation, as well as structuring of the implementation of said policies. By supporting human capacity-building and improved governance, the Bank will target the improvement of public finance and statistical management, the upgrade of executives' technical and managerial skills and the improvement of human resources for health. These objectives consolidate the previous CSP's achievements in public finance, training and health management. This pillar is consistent with the NESDP human development priorities. Finally, as presented in the mid-term Review, the Bank could prepare programmatic support based on the progress of the country's programme with the IMF, using Bank resources and other eligibility criteria. By supporting human capacity building and improved governance, the Bank aimed to leverage government action, target improvements in public finance management and the statistical system, and upgrade executives' technical and managerial skills.

The Public Finance Modernisation Support Project (PAMFP) seeks to increase non-oil revenues by modernising procedures for programming and collecting state revenues to help reduce budgetary and macroeconomic imbalances. The country is expected to capitalise on infrastructure opportunities while creating wealth-distributing jobs, improving ocean fishing and fish farming and creating jobs for youth. The Bank's support is highly relevant in this governance sector as it will enable the interconnection of the computer systems of the national directorates of the Treasury, Taxation and the Budget. It will also make it possible to expand the tax base and enhance controls by creating an individual taxpayer identification number. These priorities are still crucial in the country and, given the international context, they need to be addressed to ensure capacity-building for executives and a significant increase in national tax revenue.

The relevance of the CSP programme has been well covered regarding operations in the pipeline. Furthermore, other aspects such as fragility and resilience, climate and environmental and social actions were also supported by studies. The CSP results framework clearly outlines the preliminary studies required at each level of pillar results, as well as the outputs and activities at the mid-term and end of the CSP necessary to achieve the expected results (see Table 1).

3.2. Coherence

The AfDB's 2018-22 CSP for the REG is fully consistent with national development strategies. Although the CSP pillars are built around programmes deemed relevant to achieving the intended development objectives, institutional capacity (or absorption) challenges have hampered delivery, consequently undermining internal coherence.

However, the CSP is consistent with the Bank's intervention strategies and programs. This operation is also consistent with those of other development partners, particularly in the governance and public finance sectors, in which the World Bank, the IMF and the UNDP are also involved. Indeed, there is a proliferation of partners in the country with diverse areas of intervention. The CSP's MTR clearly presented the coordination and harmonisation of aid and also touched on the new partnerships between donors who are organising themselves into working groups to meet the global challenges of achieving Equatorial Guinea's development objectives.

3.3. Effectiveness: Validation of CSP outcomes at mid-term

The evaluation of the outcomes achieved at mid-term was based on the 2018-2022 CSP results framework matrix. Three (3) of the 13 planned outcomes were fully achieved at mid-term, and one partially achieved. Of the 13 outputs initially selected, three (3) were achieved, and 10 were not achieved. According to the CSP Mid-term Review, the low level of achievement of outcomes and outputs stems from the low level of operations approved at mid-term. Of the six operations programmed between 2019 and 2021, for a total of UA 216 million, two (2) operations were approved for an amount of UA 68.3 million; i.e., representing almost 32% of commitments relative to projections. The MTR does not specify the actual amount of the headroom because, according to the Bank's guidelines, this amount is indicative and may change depending on the country risk profile and the Bank's resources. The MTR states that "in the absence of a Head Room for the REG, the remaining CSP period will be used by the Bank to improve the private sector environment, prepare operations to boost the diversification of the economy (agriculture, transport) but also prepare two operations on the digital economy and human

capital development". The headroom for the sovereign (public) window was zero between 2020 and 2022. For 2021, the headroom for the non-sovereign (private) window was UA 50 million.⁶

Given that a limited or non-existent headroom would limit interventions from the ADB window, resources from trust funds were proposed as a solution. Thus, all AfDB-financed operations in the country between 2020 and 2022 were supported by trust funds, as mentioned in the MTR. With such a financing scheme, new operations would be approved without waiting for the revision or increase of the Head Room, as recommended in the MTR. It also raised other solutions, including strengthening the PPP Framework.

3.4. Contribution to achieving the Government's Programme objectives

As mentioned earlier, CSP 2018-2022 has provided resources to support activities under two pillars, namely: (i) Support agricultural transformation for economic diversification; and (ii) build capacity in public policy design and implementation. Table 1 below provides a summary of these activities.

Table 1: Summary of activities and outcomes

Pillars	Expected outcomes 1	Expected outcomes 2	Expected outcomes 3
Pillar 1: Support agricultural transformation for economic diversification (in line with the Bank's High-5s: "Feed Africa", "Industrialise Africa" and "Improve quality of life for the people of Africa");	Development of fisheries and food processing sectors: Outputs: a) Output 1: Production of an action plan to structure the fisheries sector, increase production, and related monitoring activities. Fisheries and aquaculture development project. b) Output 2: Production of an action plan aimed at structuring the agricultural sector, increasing production, and developing a food security strategy to support the agricultural transformation support project, food security and fisheries development. ACHIEVEMENTS: a) Equatorial Guinea - Support Project for the Development of Value Chains in the Fisheries and Aquaculture Sector (PASPA) b) Action Plan	Improving the private sector climate: Outputs: a) Studies on the investment climate and preparations for the conference to update the National Economic and Social Development Plan (NESDP) are completed. b) Institutional support to improve the investment climate, promote SMEs and diversify the economy are implemented before 2020. ACHIEVEMENTS: Analysis of the investment climate and associated action plan is prioritised and preparatory activities for the NESDP update conference available (completed? in 2020) MIC private sector support grant and support project for private sector development and economic diversification	
Pillar 2: Build Capacity in Public Policy Design and Implementation. (aligned with the High-5: "Improve quality of life for the people of Africa").	Strengthen governance capacity and public financial management Outputs: 2nd Public Finance Management Support Project ACHIEVEMENTS: Equatorial Guinea - Public Finance Modernization Support Project (PAMPF) Source: AfDB DATA PORTAL	Improve public policy-making capacity Outputs: 1. Targeted and comprehensive institutional support (materials, human resource training, teaching materials, etc.) 2. High visibility of the education sector 3. Enhanced operational capacity of the sector 4. Effective promotion of gender in technical, vocational and scientific fields ACHIEVEMENTS Republic of Equatorial Guinea - Feasibility Study Project for the Digital Ecosystem Strengthening Support Project (PARED) Source: AfDB DATA PORTAL	Improve human resource management in the social sectors Outputs: 1. Sector study reports available 2. National Employment Observatory established 3. 100 additional managers and teachers trained and/or retrained 4. 5 IPPs built, and five equipped. 5. National University laboratories rehabilitated and equipped 6. Number of copies of teaching materials produced and distributed to teachers 7. Number of scholarships for excellence awarded to deserving girls in secondary and higher education Report on the national health development plan -

⁶ Equatorial Guinea 2018-22 CSP MTR, p.16

Pillars	Expected outcomes 1	Expected outcomes 2	Expected outcomes 3
		Equatorial Guinea - Feasibility studies of the Human Capital Strengthening Support Project (PARCH) Source: AfDB DATA PORTAL	Report on the human resources development study - Report on the second DHS - A functional health information system Social Sector Human Resource Development Programme (PDRHS)

Source: Reproduced from the 2018-2022 CSP for Equatorial Guinea

3.4.1. Achievements in the fisheries sector

The only project focusing on developing fisheries value chains in the agricultural sector is aligned with Equatorial Guinea's national priorities. These priorities are set out in the National Economic and Social Development Plan (NESDP), which seeks to transform the country into a leading seafood processing hub. The project aims to support an increase in commercialised small-scale fish production and aquaculture products, an increase in per capita consumption of fish caught in Equatorial Guinea to replace frozen fish imports, and ultimately food security and the reduction of malnutrition and poverty. These priorities are justified by the significant investment deficit in this sector, which is the cause of the insufficient national fisheries output. This project will be a major driving force of economic diversification by increasing income from the country's potential fisheries resources.

The infrastructure investments envisaged under Pillar 1 of the CSP and relating to the PASPA project are not yet perceptible as the infrastructure works planned for 2022 have not yet started. The BDs have been prepared, and the call for tenders launched. The project is slightly behind schedule, with a disbursement rate of only 7.2% at the time of the CSP MTR. These infrastructure projects should comprise, among others, the rehabilitation of cold rooms, loading zones at the port of Lula and Bata, a fish trading centre and procurement of fishing vessels operated under a PPP.⁷

The MTR did not adequately specify the current achievement status of PASPA outputs. It indicated as a current output the preparation of an Action Plan for structuring the fisheries sector, which does not appear in the Implementation Progress and Results (IPR) Report of this project prepared after the supervision mission conducted in October 2021 (see Text box 1).

Text box: Fisheries and Aquaculture Value Chain Development Support Project (PASPA)

The Support Project for the Development of Value Chains in the Fisheries and Aquaculture Sector (PASPA) in Equatorial Guinea is a mechanism for implementing the 2018-2022 Country Strategy Paper (CSP) which focuses on two pillars, namely: (i) support agricultural transformation for economic diversification; and (ii) build capacity in public policy design and implementation. The project seeks to increase and enhance fish production through sustainable development of industrial fishing, artisanal fishing and aquaculture and to strengthen the drinking water and sanitation infrastructure. It aligns with the first pillar by supporting the country's transformation of the fisheries and aquaculture sector. It will stimulate investments in the sector and promote the national private sector and youth employment by matching training with labour market needs. It will also trigger the emergence of micro, small and medium enterprises (MSMEs) which will contribute to the improvement of youth employability in the sector. **PASPA, which will cost EUR 69.968 million, will be implemented over a 5-year period in partnership with the ILO, particularly for the stakeholder capacity-building component.** The project's interventions target all value chains (production, conservation, processing and marketing) for the three (3) sub-sectors, namely artisanal fishing (maritime and inland), industrial fishing and aquaculture. This will ultimately help improve fish supply to the domestic market, reduce imports, increase exports to countries within the sub-region, increase incomes and improve youth employability and access to drinking water and sanitation.

The project will mainly provide direct support to 500 created MSMEs, 300 cooperatives and groups, as well as targeted support to young, female and male entrepreneurs in the fisheries, aquaculture and water management sectors, regardless of their status as newcomers or experienced professionals. The bulk of the country's total population (923,393 inhabitants or 75%) is concentrated in the project area. The project is expected to benefit an estimated 80% of this population; i.e., nearly 739,000 men and women, including 277,000 direct beneficiaries. More than 15,000 direct and indirect jobs will be created, including at least 70% for women and young people.

Source: Project Sheet – DATA PORTAL – African Development Bank -
<https://projectsportal.afdb.org/dataportal/VProject/show/P-GQ-AAF-004?lang=fr>

3.4.2. Achievements in the governance sector

The public finance modernisation support project implemented under Pillar 2 of the CSP is off to a slow start. While the prevalence of the COVID-19 crisis has seriously slowed down the activities of this project, it cannot in itself justify the 18-month delay in the delivery of outputs. The other challenge encountered in procuring highly specialised equipment could have been easily anticipated as similar projects have already been implemented by the AfDB, particularly in West Africa.

The achievement of its first outputs could start progressively through the ongoing recruitment of firms in charge of computerisation and interconnection as well as the setting up of training programmes for the executives of the State's financial departments and the Public Procurement Regulatory Authority⁸. Only two of the approximately 20 outputs, namely the development of a procedures manual and the audit of domestic expenditure, are about to be achieved.

With regard to computerization and interconnection, a feasibility study has made it possible to identify the objectives of the programme and its implementation arrangements.

The low implementation rate of projects under the two CSP pillars does not make it possible at this CSP mid-term review stage to determine results needed to measure attainment of the expected development objectives and the impact of CSP implementation outcomes. Thus, the results presented in the MTR are only prospective.

With regard to the PAMFP, the ongoing joint efforts of the PIU and AfDB could yield satisfactory results. However, the future performance of this project remains contingent on the ability to integrate the CEMAC directives into national legislation, a task assigned to the Technical Assistance component. Such application would facilitate innovation as envisaged by this project.⁹

The 2018-2022 CSP Mid-term Review report did not sufficiently describe the impact that non-approval of specific planned projects could have on ongoing activities such that adopted projects can be strengthened through the application of corrective measures in order to increase their development impact. As a mitigating measure, the MTR suggested that resources should be mobilised from other sources and institutional support should be implemented, including the ILO's participation in PASPA.

The effectiveness aspects, as discussed in the MTR, are partially validated.

For the time being, the CSP mid-term results, according to the MTR, have not made it possible to visibly demonstrate the achievement of the expected CSP results. However, if these results are achieved, they will potentially have a very visible impact on production diversification and capacity improvement.

The CSP MTR document has highlighted most of the challenges the Bank has faced in implementing the CSP by presenting a somewhat detailed analysis of these problems, which are institutional, procedural and also health-related (COVID-19). This concern is also expressed by the Validation Note, although certain constraining factors should have been anticipated.

In conclusion, this MTR Validation Note on the CSP results considers that the Review has conducted a comprehensive analysis of the CSP mid-term performance by providing financing mechanisms and tools adapted to the country's situation. The Review was very explicit about the reasons and root causes that hindered the achievement of objectives at mid-term.

According to the MTR, the performance of Pillar 1 (Diversifying the economy through agricultural transformation) and Pillar 2 (Strengthening capacities for public policy formulation and implementation) did not contribute to the achievement of expected results during the first half of the CSP. The slow start of projects to achieve the CSP objectives can also be blamed on the outbreak of COVID-19.

3.5. Efficiency: Timeliness

The start-up period of the Fishery Sector Value Chain Development and Public Finance Modernisation Support projects coincided with the COVID-19 crisis, which was marked by a slowdown in most economic activities. Project implementation delays also stemmed from poor mastery of the Bank's procedures, and of the information and communication technologies needed for project monitoring, as well as the low capacity of PIU staff. These factors contributed to the late implementation of projects in the REG and account for the low disbursement rate of 7.3% for the two ongoing projects.¹⁰

⁸ PAMFP interview form

⁹ Interview report, head of the PAMFP PIU

¹⁰ Rate calculated based on data extracted from SAP in August 2022

Regarding the PAMFP, the most significant delays were in the period leading up to the validation of the terms of reference, which takes several months, and the Bank's opinion on the various technical and financial reports submitted. This would impede the timely achievement of the project's objectives.¹¹

Efficiency analysis as presented in the CSP mid-term review report has not been fully documented to indicate the factors specific to each project included in the CSP portfolio.

Ongoing projects in the REG experienced some delays due to procedural, health and administrative issues that undermined the successful implementation of both projects. Quality-at-entry problems were also reported but not mentioned in either the MTR or the implementation progress and results (IPR) reports of ongoing projects in the country.

The table below provides an update on the causes of the implementation delays of the two projects.

Table 2: Causes of project implementation delays

Causes of project implementation delays	Support the Development of Value Chains in the Fisheries and Aquaculture Sector (PASPA)	Public Finance Modernization Support Project (PAMFP)
Cause 1	Poor mastery of the new information and communication technologies needed to ensure adequate monitoring-evaluation of project activities.	Procurement of highly specialised equipment led to delays in project implementation.
Cause 2	Poor mastery of the Bank's procurement procedures.	The prevalence of the COVID-19 crisis will continue to slow down project implementation.
Cause 3	Administrative bottlenecks which slow down the processing and submission of project files to the Bank.	
Cause 4	Delays in installing the financial management and accounting software needed to process operations and generate reliable financial statements.	
Cause 5	Challenging business environment caused by the COVID- 19 pandemic,	

Source: Implementation progress and results reports - PASPA and PAMFP projects.

3.6. Sustainability of results

Although sustainability has been factored into ongoing projects from inception, it is only very briefly mentioned in the MTR and only in its environmental aspect. The MTR mentions ongoing efforts towards environmental sustainability as reflected in the aspirations of the country's Vision 2035 presented in the NESDP. The validation note mentions that structural weaknesses in the capacity of the public administration could lead to poor ownership by beneficiaries, notably in the Public Finance Modernization Support Project. Measures are in place to anticipate this risk, which could prevent the sustainability of the project's achievements, as announced in the mitigation measures of the results-based logical framework of the PAMFP appraisal report. These measures included the signature of an economic and financial reform programme between the country's government and the IMF; as well as the government's commitment to facilitate the intervention of high-level experts with a view to strengthening the capacity of beneficiary structures.

3.7. Cross-cutting issues

For the second half of the CSP period, the Bank intended to continue with the ongoing analytical studies, namely: (i) the country diagnostic note; and (ii) the study on the COVID-19 impact simulations and the alternative economic policy measures in REG prepared within the framework of the Reform Policy Dialogue Matrix. Private sector involvement will facilitate the implementation of studies carried out with Bank support and relating to: (i) capacity-building support for the Chamber of Commerce; and (ii) establishment of a support mechanism for SMEs/SMIs with a view to creating a dynamic private sector. The Bank will continue to focus on technical assistance because of its catalytic effect on all sectors of the economy. The Validation Note concludes that conducting such studies will be crucial to the country's operations on account of the knowledge that will be generated. However, it seems essential to strengthen the policy dialogue strategy.

From a fiduciary standpoint, the overall risk rating assigned is high because several components are dysfunctional. In public procurement, the fiduciary risk analysis reveals an absence of a legislative and regulatory framework in line with international standards, standard bidding documents and procedures manuals, and a complaints mechanism. With regard to external audit, the fiduciary risk level is high because the implementing instruments of the Court of Auditors are not available, thus creating

¹¹ Record of interview with the PAMFP PIU

shortcomings in the public expenditure verification and ex-post control processes. The Bank has identified mitigation measures to minimise these risks.

4. BANK PERFORMANCE

At the CSP MTR stage, overall, there was little progress made during project implementation despite the inclusion of some cross-cutting issues, including gender, in financed projects. The Bank's non-performance is due to quality at entry and the bottlenecks in the implementation process, as the Bank was supposed to be proactive. As a result, projects were not delivered on time, and the expected results were not achieved. The Bank's support should have enabled Equatorial Guinea to increase its non-oil revenue and diversify its economy. The two ongoing projects are expected to be completed despite the poor results achieved during the first half of the CSP. The MTR does make recommendations on Bank intervention, including environmental issues, but fails to mention those already implemented by the Bank since the beginning of the CSP.

4.1. Management of programme implementation

Programme implementation, after Board approval of specific loans, is being carried out in accordance with the standard procedures for entry into force, disbursement, financial reporting and audit, and closure. During CSP implementation, there have been significant challenges at certain stages of the projects, partly due to ignorance of Bank procedures by the PIUs, and a lack of ICT technical skills for the staff. A concrete case is the Public Finance Modernisation Support Project, which was approved in 2019, but is one and a half years behind schedule. The delay between the dates of signature and entry into force and the delay in the construction and rehabilitation of the infrastructure for the Fisheries Value Chain Development Project may lead to an extension of its implementation.

Disbursements have been low, although made in time for the start-up phase of the projects. However, problems with procurement have not helped to unblock the situation as the projects progress. Anticipatory measures are needed at this level to accelerate project implementation in the second half of the CSP period.

The 2017-2018 PAPP addressed several major portfolio issues: These include difficulties in timely start-up, insufficient mastery of Bank procedures, lack of an adequate financial management and accounting system before the first disbursement, late submission of audit, and weak involvement of line ministries in project monitoring.

PAPP 2021 identified several recurrent issues similar to the problems identified in the previous PAPP. These issues also relate to: inadequate M&E of some projects; ineffective staffing policies, particularly in the PIUs; insufficient knowledge of Bank procedures and regulations; ignorance of the Bank's lending conditions; and excessive delays in approving a loan before its effective date.

Even though the CSP 2018-2022 Mid-Term Review Report stated that 13 of the 20 priority actions recommended for PAPP implementation had been completed, challenges remain, including delays in the processing of files and the PMUs' ignorance of Bank procedures.

On the Government side, the steering committees mentioned in the project's institutional arrangements meet only very rarely. In addition, effective ownership of projects by nationals remains a challenge in REG. The institutional shortcomings in monitoring operations are reflected, among other things, in the delay in satisfying the conditions precedent to project effectiveness as well as bottlenecks in signing contracts and granting entry visas to foreign service providers recruited by the PIU.

4.1.1. Partnership and donor coordination

As a middle-income country, Equatorial Guinea is not aid-dependent, which makes collaboration and cooperation with donors less active than in other African countries. However, the RDGC is involved in information sharing and collaborative efforts. In addition, co-financing opportunities are increasingly being developed in the country. This is the case with ILO for PASPA and the WB and the IMF for future support for reforms in the country.

The Bank has been able to support the mobilisation of trust fund resources, which can also contribute concomitantly to the Bank's objectives without remaining in the "straitjacket" that the Head Room could constitute.

5. SUMMARY OF CSP PERFORMANCE AT MID-TERM REVIEW

5.1. Overall assessment

The implementation rate of PASPA and PAMFP project activities is not high enough and consequently cannot be used to determine an incipient upward trend in food security and public revenue in Equatorial Guinea. The current limited progress in infrastructure development under both projects has somewhat undermined the portfolio's effectiveness.

The table below summarises the performance of ongoing projects.

Table 3: Summary of performance

Evaluation criteria	Summary of performance
Relevance	Portfolio highly relevant to Equatorial Guinea's needs, the government's strategies outlined in the NESDP, and in line with the High-5s and the priorities of other donors. CSP projects have considered cross-cutting issues, including gender and climate resilience. On the other hand, the relevance of the design is questionable, given the implementation problems in the start-up phase of the projects. The latest project implementation reports seem to demonstrate that the projects have worked well over time.
Effectiveness	Due to delays, the two ongoing projects have not yet delivered the first outputs. Only one or two are at up to 80% completion. The gap between planned and implemented activities is significant.
Efficiency	The disbursement rate for Equatorial Guinea's active portfolio remains low at an average of only 7.3%. Several activities have been delayed, suggesting weaknesses in quality at entry, control of procedures and response times.
Sustainability	Sustainability was well taken into account in the design of the REG projects. Both overall and sectoral environmental sustainability are addressed in the MTR. Other types of sustainability are developed in the two annexes 10 and 11 on climate change, green growth and environment and blue economy. The weak capacity of the country's administration is likely to undermine ownership of the governance project.

5.1.1. Observations on the design, implementation and use of the M&E process

Any results framework should be based on a sound theory of change. As in the CSP, the MTR Report did not also consider incorporating more detailed performance indicators in the results framework with causal links between activities, outputs, outcomes and expected impacts. On the other hand, the portfolio risk matrix has been drawn up. It could perfectly meet the need to assess evolving risks until the completion of the CSP.

Such an expanded results framework would be essential to the project monitoring and evaluation system.

6. BANK STRATEGY FOR THE REMAINING CSP PERIOD

6.1. Maintenance of the CSP pillars

The Validation Note aligns with the MTR on maintaining the pillars of the CSP. Economic diversification and improved governance remain the main challenges for the government of Equatorial Guinea. Given that its national priorities for the 2020-2035 period have not changed, the two pillars of the CSP are important assets for reducing social inequalities by creating jobs for young people in the agricultural sector and for ensuring managerial capacity-building for executives as well as effective public finance management.

Pillar 1: Support agricultural transformation for economic diversification

The objectives of this first pillar were to support the government's economic diversification strategy. According to the MTR, the Bank should continue to support the fisheries sector through the PASPA project. After this operation, this funding is expected to create jobs for the youth, improve fisheries and aquaculture capacity, and create a framework for institutional reforms conducive to the blue economy. This pillar could also serve as a premise for laying the foundations for agro-industrialisation, with the attendant multiplier effect of boosting the country's rural economy.

Pillar 2: Build capacities for the design and implementation of public policies

The second pillar is a catalyst for government action, particularly in its policy of increasing non-oil tax revenue and greater transparency in public expenditure management. This essential pillar in Equatorial Guinea's macroeconomic and financial management seems to be leading the country towards international standards in public finance management through computerization and technical capacity-building for the staff working in the State's financial services.

The country's debt level currently limits its absorption capacity, leading to the non-approval of specific planned projects. The PAMFP, which includes a public debt management component, has not made it possible to introduce mitigating measures to deal with the country's indebtedness. Weaknesses in fiduciary management have been noted. These are evident from delays in the implementation of activities despite multiple extensions, the lack of management tools at project start-up (management software, implementation manuals and management procedures) as well as non-compliance with and poor mastery of the Bank's procurement and disbursement procedures, especially regarding the disbursement and management of resources and assets.

On cross-cutting issues, the MTR focused on the environment, climate change and green growth. As a Congo Basin country prone to deforestation, Equatorial Guinea has a rich biodiversity whose ecosystems produce resources for the community. The government has ratified international environmental conventions, including the United Nations Framework Convention on Climate Change (UNFCCC). The AfDB is expected to support its objectives by financing institutional support projects. The blue economy as a growth sector could also be leveraged to achieve the country's development objectives.¹²

The Note, therefore, validates the case advanced by the Review and considers it compelling enough to maintain the same pillars for the second phase of the AfDB's 2018-2022 CSP for Equatorial Guinea.

7. ASSESSMENT OF THE QUALITY OF THE MTR

Overall, the quality of the MTR is satisfactory as it highlights the Bank's intervention strategy in Equatorial Guinea. Its format is consistent with the information provided. It gives a comprehensive report on the implementation status of projects and the measures planned to ensure their success. However, the evidence presented to support the analysis was not exhaustive, and essential details were often omitted. The linkage and unintended effects resulting from non-approval of two of the ongoing projects were more explicitly addressed in the MTR. However, the strategic and operational lessons are fully in line with the factual situation analyses of the projects and are reviewed to further improve cooperation with the country. Constraints to the implementation of the strategy, as well as institutional gaps or lack of capacity, are also mentioned. The corrective measures proposed in the report are feasible. The corresponding table in Annex 2 provides more details.

8. CONCLUSIONS AND KEY LESSONS LEARNED

8.1. Conclusions

The CSP implementation results have shown the pillars' suitability in light of the country's economic constraints. The Bank will continue its efforts to support ongoing operations for economic transformation and inclusive growth in the REG. The validation note validates the findings of the MTR and maintenance of the same CSP pillars in order to continue achieving the country's development objectives. To that end, close attention should be paid to the key lessons learned from the MTR review, as presented in this validation note.

8.2. Key lessons learned

The MTR draws the following lessons for the Bank: *"A recurring lesson is to have a gradual approach by first focusing on strengthening knowledge and governance through technical assistance instead of classical operations related to purchasing capital and construction goods. The following main lessons can be drawn from implementation of the CSP and considered for the future: (i) set up a liaison office; (ii) strengthen analytical capacity on the deteriorating economic situation (debt management) and the*

¹²2018-2022 CSP MTR, Annex 12

health crisis; (iii) focus on analytical studies to improve quality at project entry and better prepare the new CSP; (iv) support the private sector; and (iv) give preference to co-financing.”

The Validation Note validates both the operational and strategic lessons outlined in the CSP MTR. Current achievements in CSP implementation demonstrate the relevance of the pillars. However, the 2018-2022 CSP MTR mentions, as lessons, the need to strengthen analytical capacity on the deterioration of the economic situation, support the private sector and prioritise co-financing. It should be noted that other constraints, apart from the prevalence of COVID-19, have hampered the start-up of two projects, namely: the Fisheries Value Chain Development Support Project (PASPA) and the Public Finance Modernisation Support Project (PAMFP). The execution of specific technical projects, such as the PAMFP requiring a procurement procedure, deserves particular attention in their start-up and design to ensure much better quality at entry. The same applies to PASPA, whose facilities have been delayed due to unmonitored contracts, services and works.¹³ It is also the responsibility of the REG government to provide the Project Implementation Units (PIUs) with staff that has the technical skills and training required for the proper execution of projects.

Complementarity between some operations envisaged in the Equatorial Guinea 2018-2022 CSP could not be achieved due to the failure to approve several projects. Thus, synergy was not ensured between PASPA and the initially planned project to strengthen the institutional framework of the private sector.

8.3. Additional lessons from the validation

Through the validation note, IDEV provides additional lessons to pursue achievement of the country's development objectives:

- 1) To avoid possible delays in project implementation, it could be helpful to draw up an exhaustive list of corrective measures to accelerate the execution of projects that are behind schedule, to which a matrix of actions to be undertaken will be annexed. The project managers could periodically review this list.
- 2) Organizing on-site training clinics on Bank procedures for PIU staff before project start-up can help to reduce start-up challenges and project implementation delays in the country, thus ensuring better development results. Adding a procurement specialist to the planned project office could also be considered.
- 3) Incorporating performance indicators in the results framework when preparing the CSP Mid-term Review reports based on the theory of change can ensure better monitoring and evaluation of development objectives. The unavailability of the ToC since the design of the CSP has not facilitated the selection of indicators for measuring performance in terms of achieved results and impact.

¹³ Implementation progress and results report, PASPA, 11 February 2022

9. ANNEXES

Annex 1: Evaluation methodology and approach

The validation of the CSP Mid-term Review was based on an independent desk review of the findings, lessons and recommendations conducted by management using the international evaluation criteria (relevance, coherence, effectiveness, efficiency and sustainability).

The validation exercise mainly covered the following:

- Attribution/Alignment with the Strategic Direction Dimension: This validation will focus on the alignment of the pillars ((i) Supporting Agricultural Transformation for Economic Diversification and (ii) Strengthening Public Policy Formulation and Implementation Capacity) with national and Bank priorities and verification of their alignment with ongoing programme projects. The objective is to ascertain the extent to which the MTR has verified that the CSP, as implemented, is focused on helping the country reduce poverty and foster shared prosperity sustainably.
- The validation also ensured that the MTR attributed responsibility for programme outcomes to the main categories of CSP actors and partners, including other funding institutions.
- The validation review questioned the relevance of the findings on achievement of CSP outcomes at mid-term and the path to completion of the programme. This ensured that the Review presented objectively and credibly the difficulties in attaining the mid-term programme and the actions to be implemented, including the policy reform actions (well outlined in the Mid-term Review document). This validation facilitated a discussion on the mid-term lessons and actions to complete the programme in the best possible way and possibly inform the Bank's future strategies. This validation produced a discussion of alignment assessment and ratings based on relevant data and evidence to demonstrate the achievement of objectives. It also provided a narrative assessment focusing on learning but did not provide a performance rating.

It should be noted that the lack of adequate evidence to demonstrate the achievement of objectives and the relevance of said objectives to the country's development goals is an essential factor affecting the quality of the CSP review at validation.

Development outcomes dimension: The validation was conducted in line with the Bank's Results Measurement Framework (RMF). The aim was to establish how successful the MTR was in helping the country to achieve the CSP objectives identified in the results framework: Validation - ensuring that the MTR highlighted results not relative to higher-level national development goals but rather to the achievement of programme objectives, which are designed to help the country achieve its development goals. Only achievements obtained during the mid-term Review are taken into account. The Review will involve an analysis of the objectivity and credibility of the MTR in terms of assessing the relevance, effectiveness in achieving results, efficiency, sustainability and institutional impact, including in the achievement of the policy reform agenda.

Bank performance dimension

The Validation examined the extent to which the MTR revealed how efficiently the Bank designed and implemented the programs. This entailed validating the "bottom-up" analysis of programme inputs - loan investments, knowledge products, capacity development support, grants and TA, resource mobilisation, and partnerships - as presented in the MTR report relative to the original CSP.

Country performance dimension

The country does not have a regular portfolio monitoring mechanism. The steering committees provided for in the institutional arrangements for the projects rarely meet. In addition, effective ownership of projects by nationals is still a challenge in the REG. The Bank's operations are monitored by a national focal point with limited decision-making powers in the Ministry of Finance attached to the PAGFP. He submits project implementation status reports to the Ministry of Finance from time to time. The institutional deficiencies in the monitoring of operations are reflected, inter alia, in the delay in fulfilling conditions precedent to project effectiveness and protracted delays in signing contracts and granting entry visas to foreign contractors recruited by PMUs. The validation will review the current deficiencies and the extent to which the opening of an Office could help resolve this institutional problem and improve programme implementation performance at the country level.

Annex 2: Mid-term review quality assessment sheet

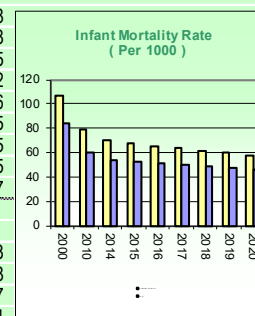
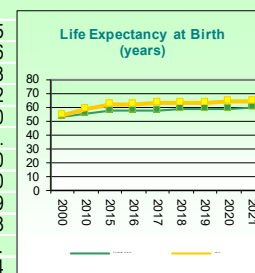
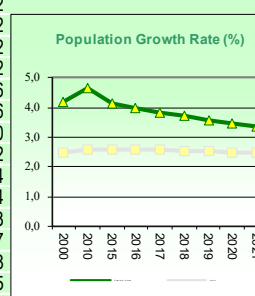
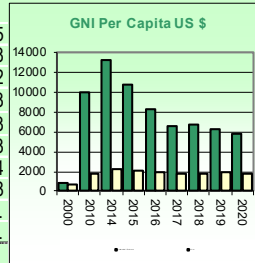
Criteria	Rating: (1- 4.)***	Justifications/Comments
QUALITY OF MID-TERM REVIEW		
1. Exhaustiveness and quality of the MTR evidence and analyses provided to support the ratings given to the various sections.	2	Evidence was provided to support the MTR analysis but was not comprehensive enough. □ For example, not all factors contributing to project delays were listed in the report.
2. Objectivity of the MTR evaluation ratings.	3	The MTR was objective about the poor performance of ongoing projects. As such, it only mentioned prospective potential results.
3. Internal consistency of the MTR ratings; inaccuracies; inconsistencies (in different sections) between texts and ratings; consistency between the overall rating and the ratings of the different components.	3	Overall, internal consistency is maintained in the texts and ratings, although important details have often been omitted. For example, anticipatory measures that would have facilitated start-up projects were usually not stated.
4. Extent to which key factors (internal and exogenous) and unintended effects (positive and negative) affecting the design and implementation of the CSP have been identified and assessed at mid-term.	2	The linkage and unintended effects resulting from the non-approval of two of the ongoing projects in the REG were not clearly stated in the MTR. For example, the private sector project was supposed to reinforce PASPA.
5. Adequacy of the treatment of safeguards, fiduciary issues, alignment and harmonisation, cross-cutting issues, fragility and resilience factors.	3	All these issues have been effectively addressed in the MTR, both in the texts and especially in the annexes.
6. Adequacy of the processes for generating and analysing evidence (including outcome and performance indicators) to support the evaluation of the MTR report.	3	Outcome and performance indicators have been well analysed and reliably reflect the information contained in the IPR or EER.
7. Overall adequacy of accessibility of evidence (from the MTR note, including annexes and other data provided).	3	The annexes were provided and included relevant documents. Information is available on the projects and their overall implementation framework.
8. To what extent are the lessons learned (and the recommendations) clear and based on the MTR evaluation (evidence and analysis)?	3	The lessons outlined in the MTR are sufficiently consistent with the evidence-based analyses of the project situation.
9. Overall clarity and comprehensiveness of the Mid-term Review note.	3	Overall, the MTR endeavoured to provide a meaningful account of the situation regarding the implementation of AfDB projects, often providing fairly precise evaluation elements.
Other (specify)		
RATING ON THE QUALITY OF THE MID-TERM REVIEW NOTE	3	A good report overall.
Compliance of the Mid-Term Review Note with operational guidelines (Operations Manual, etc.)		
1. Timeliness of delivery of the Mid-Term Review Note (On time = 4; late = 1)	3	The MTR can be considered completed within the acceptable time frame, as virtually all the Bank's outputs experienced delays related to COVID-19.
2. Involvement of the Borrower, Co-financiers and regional and country offices in preparing the Mid-term Review note	3	The degree of involvement of the regional office and the country team in drafting the MTR is quite commendable.
3. Other aspects (please specify)		
Note on compliance with the mid-term Review	3	The MTR was generally consistent in format and content. Considerable information was reported and analysed.

*** Rated High/exemplary (4), or substantial/significant (3), moderate (2), or negligible (1)

Annex 3: Table of socio-economic Indicators

Equatorial Guinea COMPARATIVE SOCIO-ECONOMIC INDICATORS

	Year	Equatorial Guinea	Central Africa	Africa	Developing Countries
Basic Indicators					
Surface Area ('000 Km ²)	2021	28	5 365	30 064	96 535
Total Population (millions)	2021	1,4	150,8	1 371,7	6 518,3
Urban Population (% of Total)	2021	73,7	47,3	44,3	51,2
Population Density (per Km ²)	2021	51,7	28,7	46,7	69,3
GNI per Capita (US \$)	2020	5 810	928	1 767	4 843
Labor Force Participation *- Total (%)	2021	54,9	66,2	61,9	58,3
Labor Force Participation **- Female (%)	2021	49,9	61,1	53,3	44,4
Sex Ratio (per 100 female)	2021	125,4	100,0	99,9	106,8
Human Develop. Index (Rank among 189 countries)	2019	145	...	...	...
Popul. Living Below \$ 1.90 a Day (% of Population)	2007-19	...	57,1	34,1	...
Demographic Indicators					
Population Growth Rate - Total (%)	2021	3,3	2,9	2,5	1,2
Population Growth Rate - Urban (%)	2021	3,9	4,1	3,6	2,2
Population < 15 years (%)	2021	36,8	44,5	40,1	27,2
Population 15-24 years (%)	2021	18,7	19,6	19,3	16,2
Population >= 65 years (%)	2021	2,4	2,9	3,6	7,6
Dependency Ratio (%)	2021	64,5	90,2	77,6	54,6
Female Population 15-49 years (% of total population)	2021	22,2	23,0	24,3	25,0
Life Expectancy at Birth - Total (years)	2021	59,4	60,3	64,1	71,2
Life Expectancy at Birth - Female (years)	2021	60,6	61,8	65,9	73,4
Crude Birth Rate (per 1,000)	2021	31,9	38,0	32,2	19,4
Crude Death Rate (per 1,000)	2021	8,7	9,2	7,7	7,3
Infant Mortality Rate (per 1,000)	2020	58,3	60,7	46,6	29,7
Child Mortality Rate (per 1,000)	2020	45,0	54,1	47,5	39,8
Total Fertility Rate (per woman)	2021	4,3	5,2	4,2	2,5
Maternal Mortality Rate (per 100,000)	2017	301,0	564,2	475,7	231,0
Women Using Contraception (%)	2021	17,3	23,3	38,3	59,1
Health & Nutrition Indicators					
Physicians (per 100,000 people)	2010-19	...	9,5	38,1	138,5
Nurses and midwives (per 100,000 people)	2010-19	...	82,0	106,5	254,6
Births attended by Trained Health Personnel (%)	2010-20	68,3	70,8	64,4	79,3
Peop. Using at least basic drinking water services (% of Pop.)	2017	64,7	51,0	69,3	88,2
Peop. Using at least basic sanitation services (% of Popul.)	2017	66,3	21,1	41,9	74,0
Percent. of Adults (aged 15-49) Living with HIV/AIDS	2020	7,3	1,5	3,0	...
Incidence of Tuberculosis (per 100,000)	2020	280,0	285,4	193,2	149,0
Child Immunization Against Tuberculosis (%)	2019	85,0	75,0	81,0	88,0
Child Immunization Against Measles (%)	2019	53,0	55,9	71,9	84,9
Underweight Children (% of children under 5 years)	2010-20	5,6	23,2	16,8	13,8
Prevalence of stunting	2010-20	26,2	40,1	31,9	...
Prevalence of undernourishment (% of pop.)	2019	...	33,5	17,7	10,4
Current health expenditure (% of GDP)	2019	3,1	3,4	5,1	5,3
Education Indicators					
Gross Enrolment Ratio (%)					
Primary School - Total	2011-21	61,8	111,1	103,0	101,8
Primary School - Female	2011-21	61,6	105,9	101,0	100,8
Secondary School - Total	2011-21	...	45,0	52,7	72,5
Secondary School - Female	2011-21	...	36,9	50,8	72,2
Primary School Female Teaching Staff (% of Total)	2010-21	44,4	33,4	50,5	63,6
Adult literacy Rate - Total (%)	2010-20	94,4	70,2	68,2	84,5
Adult literacy Rate - Male (%)	2010-20	97,2	79,3	72,4	88,5
Adult literacy Rate - Female (%)	2010-20	90,7	61,2	61,4	80,5
Gouvernement expenditure on Education (% of GDP)	2010-20	...	2,5	4,8	3,7
Environmental Indicators					
Land Use (Arable Land as % of Total Land Area)	2018	4,3	5,0	8,2	11,3
Agricultural Land (as % of land area)	2018	10,1	20,9	37,8	37,8
Forest (As % of Land Area)	2020	87,3	42,1	22,6	31,7
Per Capita CO2 Emissions (metric tons)	2018	5,1	0,2	1,1	3,4



Sources : AfDB Statistics Department Databases; World Bank: World Development Indicators;

last update :

April 2022

UNAIDS; UNSD; WHO; UNICEF, UNDP; Country Reports.

Note : n.a. : Not Applicable ; ... : Data Not Available. * Labor force participation rate, total (% of total population ages 15+)

** Labor force participation rate, female (% of female population ages 15+)

Annex 4: Table of macroeconomic indicators

Equatorial Guinea Selected Macroeconomic Indicators

Indicators	Unit	2010	2017	2018	2019	2020	2021 (e)	2022 (p)
National Accounts								
GNI at Current Prices	Million US \$	9 408	8 216	8 809	8 570	8 137	8 424	...
GNI per Capita	US\$	9 970	6 510	6 730	6 320	5 800	5 810	...
GDP at Current Prices	Million US \$	16 299	12 197	13 097	11 417	10 036	11 981	13 730
GDP at 2010 Constant prices	Million US \$	16 299	14 153	13 253	12 515	11 906	12 073	12 677
Real GDP Growth Rate	%	-8,9	-5,7	-6,4	-5,6	-4,9	1,4	5,0
Real per Capita GDP Growth Rate	%	-13,0	-9,2	-9,7	-8,8	-8,1	-1,9	1,7
Gross Domestic Investment	% GDP	38,1	14,0	12,5	7,7	5,3	5,2	5,2
Public Investment	% GDP	14,8	12,2	7,4	4,2	1,3	1,2	1,1
Private Investment	% GDP	23,3	1,8	5,1	3,5	4,0	4,0	4,0
Gross National Savings	% GDP	17,8	5,7	5,8	9,4	14,0	...	...
Prices and Money								
Inflation (CPI)	%	5,3	0,7	1,3	1,2	4,8	2,1	3,7
Exchange Rate (Annual Average)	local currency/US\$	495,3	580,9	555,4	585,9	574,8	538,4	531,3
Monetary Growth (M2)	%	33,6	0,9	-1,3	-5,9	-5,2	...	...
Money and Quasi Money as % of GDP	%	13,6	19,3	18,6	19,0	20,9	...	...
Government Finance								
Total Revenue and Grants	% GDP	26,6	17,5	20,0	18,6	14,2	16,0	17,8
Total Expenditure and Net Lending	% GDP	31,2	19,6	19,2	16,7	15,9	15,1	14,0
Overall Deficit (-) / Surplus (+)	% GDP	-4,5	-2,1	0,8	1,8	-1,7	1,0	3,8
External Sector								
Exports Volume Growth (Goods)	%	0,3	-18,3	-7,0	-12,4	-6,6	-28,6	8,1
Imports Volume Growth (Goods)	%	43,2	-6,4	6,8	-15,5	-11,0	-23,8	38,1
Terms of Trade Growth	%	17,3	60,6	31,8	3,4	-14,7	37,1	44,3
Current Account Balance	Million US \$	-3 300	-916	-688	-691	-635	-431	-175
Current Account Balance	% GDP	-20,2	-7,5	-5,3	-6,1	-6,3	-3,6	-1,3
External Reserves	months of imports	2,9	0,1	0,1	0,1	0,3	2,0	...
Debt and Financial Flows								
Debt Service	% exports	0,0	2,7	2,7	4,7	5,7	4,5	3,5
External Debt	% GDP	8,0	9,2	12,2	13,9	16,4	12,0	9,7
Net Total Financial Flows	Million US \$	91	168	237	50	-452	...	...
Net Official Development Assistance	Million US \$	85	7	7	63	6	...	...
Net Foreign Direct Investment	Million US \$	2 734	305	396	452	530	...	...

Source : AfDB Statistics Department: African; IMF: World Economic Outlook, April 2022 and International Financial Statistics, April 2022; AfDB Statistics Department: Development Data Portal Database, April 2022. United Nations: OECD, Reporting System Division.

Notes: ... Data Not Available (e) Estimations (p) Projections

Last Update: May 2022

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